

D913

Risk Management and Compliance

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

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How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A risk manager at a hospital that recently opened a helipad rates risks on 1–5 scales. Risk A: likelihood 4, impact 2. Risk B: likelihood 2, impact 5. Risk C: likelihood 3, impact 3. The risk committee meets monthly. Which risk ranks highest?

- A. Risk A, because it is the most likely
- B. They tie, since high impact always cancels low likelihood
- C. Risk C, with the highest score of 9
- D. Risk B, with a score of 10

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A risk has an impact rating of 4. The committee acts on any score of 12 or higher. What is the lowest likelihood rating that triggers action?

- A. 48
- B. 3
- C. 8
- D. 4

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A hospital with a new pediatric wing buys cyber-liability insurance to cover losses from a possible data breach. The CFO is a CPA. Which risk response is this?

- A. Transfer
- B. Mitigate
- C. Avoid
- D. Accept

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4. [TRANSFER — reversed stem / different variable]

A clinic stops offering a high-risk elective procedure entirely because its liability exposure is too high. Which risk response is this?

- A.** Accept
- B.** Transfer
- C.** Avoid
- D.** Mitigate

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5.

A physician group with offices in three suburbs, whose founder recently retired, is building a compliance program. Which element does federal OIG guidance call for?

- A.** A guarantee that no billing errors will ever occur
- B.** An anonymous way to report concerns, with protection from retaliation
- C.** A larger marketing budget to grow referrals
- D.** Compliance duties handled informally by whoever has time

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A cardiologist in a busy suburban practice with a new imaging suite refers Medicare patients for lab tests to a lab her husband owns. There is no evidence she meant to reward or induce referrals, and she has an excellent reputation. Which law is most directly implicated?

- A.** The Anti-Kickback Statute
- B.** EMTALA
- C.** No law, because she had no intent
- D.** The Stark Law

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7. [TRANSFER — reversed stem / different variable]

A device sales representative knowingly pays a nurse practitioner \$500 for each patient she steers to the company's device. Which law applies?

- A.** No law, since nurse practitioners are never covered
- B.** The Stark Law
- C.** HIPAA
- D.** The Anti-Kickback Statute

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8.

A billing audit at a hospital with a long waiting list for its sleep clinic identifies \$80,000 in Medicare overpayments. The audit was done by a firm the hospital has used for 10 years. What must the hospital do?

- A. Return it within six months
- B. Report and return the overpayment within 60 days of identifying it
- C. Keep it, since the errors were unintentional
- D. Return it only if a whistleblower files a claim

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9. [TRANSFER — reversed stem / different variable]

After reporting fraudulent billing internally with no response, an employee files a qui tam suit under the False Claims Act. What does this mean?

- A. A patient files a criminal complaint
- B. The employee sues the hospital for personal injury damages
- C. The employee sues on the government's behalf, may share in any recovery, and is protected from retaliation
- D. The hospital may fire the employee for breaking confidentiality

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A man with chest pain arrives at the ED of a hospital with a well-known orthopedic program and says he has no insurance. The ED is busy, and the hospital's parking garage is under construction. What does EMTALA require?

- A. Screen only patients whose condition is obviously life-threatening
- B. Transfer him to a public hospital right away
- C. A medical screening exam and stabilizing treatment or appropriate transfer, regardless of ability to pay
- D. Verify insurance or collect a deposit before the exam

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A nurse at a hospital that recently became a teaching affiliate catches a wrong-dose order before giving it, so the patient is not harmed. She is a charge nurse with 12 years of experience. Should an incident report be filed?

- A.** Yes; near misses should be reported so the system weakness can be fixed
- B.** No, because experienced nurses are expected to catch errors
- C.** Yes, and place it in the nurse's personnel file
- D.** No, because no harm occurred

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12.

After a state survey finds missing hand-hygiene audits, a hospital that recently changed CEOs writes a corrective action plan. The surveyor was new to the job. Which element best makes the fix sustainable?

- A.** A named owner, a due date, and monthly audits against a target reported to leadership until compliance holds
- B.** A goal that staff will always be 100% compliant, with no audits
- C.** An appeal of the finding because the surveyor was new
- D.** A one-time email reminding staff to wash hands

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A risk manager at a hospital ~~that recently opened a helipad~~ rates risks on 1–5 scales. Risk A: likelihood 4, impact 2. Risk B: likelihood 2, impact 5. Risk C: likelihood 3, impact 3. ~~The risk committee meets monthly.~~ Which risk ranks highest?

Target word: highest priority **Decides:** Likelihood × impact: 8, 10, 9.

A	Dropped element	Drops impact from the score.
B	Absolute language	The product gives distinct scores.
C	Wrong stem number	Miscalculates B; $2 \times 5 = 10$ beats 9.
D	Correct	A = 8, B = 10, C = 9.

2. Answer B Concept 1 • transfer

A risk has an impact rating of 4. The committee acts on any score of 12 or higher. What is the lowest likelihood rating that triggers action?

Target word: likelihood needed **Decides:** $12 \div 4$.

A	Wrong stem number	Multiplies the threshold by the impact.
B	Correct	$3 \times 4 = 12$.
C	Inverted operation	Subtracts impact from the threshold instead of dividing.
D	Confusion set	Repeats the impact rating as the likelihood.

3. Answer A Concept 2

A hospital ~~with a new pediatric wing~~ buys cyber-liability insurance to cover losses from a possible data breach. ~~The CFO is a CPA.~~ Which risk response is this?

Target word: response type **Decides:** Shifting financial loss to an insurer.

A	Correct	Insurance shifts the financial consequences to another party.
B	Confusion set	Mitigation reduces likelihood or impact through controls; insurance does not lower the chance of a breach.
C	Adjacent category	Avoidance stops the risky activity entirely.
D	Inverted operation	Accepting means keeping the risk, the opposite of shifting it.

4. Answer C Concept 2 • transfer

A clinic stops offering a high-risk elective procedure entirely because its liability exposure is too high. Which risk response is this?

Target word: response type **Decides:** The activity is eliminated.

A	Inverted operation	Accepting would keep offering the procedure as is.
B	Confusion set	Transfer shifts loss to someone else while the activity continues.
C	Correct	Ending the activity removes the risk.
D	Adjacent category	Mitigation keeps the activity but adds controls.

5. Answer B Concept 3

A physician group ~~with offices in three suburbs, whose founder recently retired,~~ is building a compliance program. Which element does federal OIG guidance call for?

Target word: required element **Decides:** Open reporting line.

A	Absolute language	Programs detect and correct errors; they cannot promise none.
B	Correct	Open lines of communication are a core element.
C	Adjacent category	Marketing is not a compliance element.
D	Dropped element	Drops the designated compliance officer.

6. Answer D Concept 4

A cardiologist in a busy suburban practice ~~with a new imaging suite~~ refers Medicare patients for lab tests to a lab her husband owns. There is no evidence she meant to reward or induce referrals, and ~~she has an excellent reputation.~~ Which law is most directly implicated?

Target word: which law **Decides:** Family financial tie plus referral for a designated service; intent not required.

A	Confusion set	AKS requires knowing and willful payment for referrals; no intent or payment is shown.
B	Adjacent category	EMTALA governs emergency screening and stabilization.
C	Dropped element	Drops Stark's strict-liability standard.
D	Correct	Stark applies to physician referrals to family-owned entities for designated services, regardless of intent.

7. Answer D Concept 4 · transfer

A device sales representative knowingly pays a nurse practitioner \$500 for each patient she steers to the company's device. Which law applies?

Target word: which law **Decides:** Knowing payment for referrals by a non-physician.

A	Absolute language	AKS applies to anyone who offers or receives payment for referrals.
B	Confusion set	Stark covers physician self-referrals, not payments like this.
C	Adjacent category	HIPAA concerns privacy and security of health information.
D	Correct	AKS bans knowingly paying anyone to induce federal-program referrals.

8. Answer B Concept 5

A billing audit at a hospital ~~with a long waiting list for its sleep clinic~~ identifies \$80,000 in Medicare overpayments. ~~The audit was done by a firm the hospital has used for 10 years.~~ What must the hospital do?

Target word: required action **Decides:** Identified overpayments.

A	Wrong stem number	The deadline is 60 days, not six months.
B	Correct	Federal rules require return within 60 days.
C	Inverted operation	Unintentional overpayments must still be returned.
D	Confusion set	The duty to return exists regardless of any lawsuit.

9. Answer C Concept 5 · transfer

After reporting fraudulent billing internally with no response, an employee files a qui tam suit under the False Claims Act. What does this mean?

Target word: meaning of qui tam **Decides:** Whistleblower suit on the government's behalf.

A	Confusion set	Qui tam is a civil action by a relator.
B	Adjacent category	Qui tam recovers money for the government.
C	Correct	That is the FCA qui tam provision.
D	Inverted operation	The FCA prohibits retaliation against whistleblowers.

10. Answer C Concept 6

A man with chest pain arrives at the ED of a hospital ~~with a well known orthopedic program~~ and says he has no insurance. The ED is busy, and ~~the hospital's parking garage is under construction~~. What does EMTALA require?

Target word: EMTALA duty **Decides:** Anyone seeking emergency care.

A	Absolute language	Everyone who comes for emergency care must be screened.
B	Dropped element	Drops the screening and stabilization required first.
C	Correct	EMTALA requires screening and stabilization for all.
D	Inverted operation	EMTALA bars delaying screening to ask about payment.

11. Answer A Concept 7

A nurse at a hospital ~~that recently became a teaching affiliate~~ catches a wrong-dose order before giving it, so the patient is not harmed. ~~She is a charge nurse with 12 years of experience~~. Should an incident report be filed?

Target word: report or not **Decides:** A near miss.

A	Correct	Near misses reveal risks before harm occurs.
B	Camouflage	Her experience does not remove the system weakness.
C	Inverted operation	Reporting systems should be non-punitive.
D	Dropped element	Drops the value of near-miss reporting.

12. Answer A Concept 8

After a state survey finds missing hand-hygiene audits, a hospital ~~that recently changed CEOs~~ writes a corrective action plan. ~~The surveyor was new to the job~~. Which element best makes the fix sustainable?

Target word: sustainability element **Decides:** Owner, deadline, and ongoing monitoring.

A	Correct	Monitoring with ownership keeps the fix in place.
B	Absolute language	An absolute goal without measurement cannot be verified.
C	Camouflage	The surveyor's experience does not change the finding.
D	Dropped element	Drops monitoring and ownership.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owned.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	6	
Wrong stem number	A figure copied from the prompt that is not the answer.	3	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	7	
Absolute language	Always, never, guarantee — where judgment applies.	5	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	2	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Risk scoring	Risk priority = likelihood x impact; rank and act on the highest scores.	Ranking by likelihood alone or adding the ratings.	Two rating scales for several risks.
2	Risk response strategies	Avoid removes the activity, transfer shifts the financial loss (insurance, contracts), mitigate reduces likelihood or impact, and accept tolerates it.	Calling insurance mitigation because it “reduces” the loss.	Buying coverage, stopping a service, adding a control, or doing nothing.
3	Elements of a compliance program	Effective programs have written policies, a designated compliance officer, training, open reporting lines, auditing and monitoring, consistent discipline, and prompt corrective action.	Assigning compliance informally or promising zero errors.	“Which element is required?”
4	Stark Law vs. Anti-Kickback Statute	Stark bans physician referrals for designated health services to entities where the physician or family has a financial relationship, regardless of intent; the Anti-Kickback Statute bans knowingly paying for referrals, by anyone.	Thinking lack of intent defeats a Stark problem, or that AKS applies only to physicians.	A family financial tie (Stark) versus payment per referral (AKS).
5	False Claims Act and overpayments	Identified Medicare or Medicaid overpayments must be reported and returned within 60 days; the FCA allows whistleblower (qui tam) suits and bars retaliation.	Keeping unintentional overpayments or waiting for an audit.	An internal audit that finds overpayments, or an employee who files suit.
6	EMTALA	Hospitals with emergency departments must give a medical screening exam and stabilizing treatment or an appropriate transfer to anyone who comes for emergency care, regardless of ability to pay.	Asking about insurance first or transferring before screening.	An uninsured patient at the ED.
7	Incident reporting and near misses	Report near misses as well as harm events in a non-punitive system so weak points are found before patients are hurt.	Skipping reports when no harm occurred or using reports for discipline.	An error caught before it reached the patient.
8	Sustainable corrective action plans	A corrective action plan names specific actions, an owner, a due date, and ongoing monitoring with measured targets until compliance is sustained.	Treating a one-time memo or training as a finished fix.	A survey finding and a plan to fix it.

Course scope (public description): Risk Management and Compliance examines risk exposure, response, and risk mitigation within healthcare organizations. Students will explore the regulatory environment, risk assessment

methodologies, and strategies for mitigating risk. Topics should include healthcare policy, patient satisfaction, legislation, and regulations. Applying risk management and compliance frameworks, students will conduct a risk assessment and develop sustainable corrective action plans to maintain compliance with regulatory requirements. There are no prerequisites to the course.